PORTFOLIO RESEARCH / REFRESH & RE-UNDERWRITE / 19 OCTOBER 2026

Uber Technologies, Inc.

UBER · NYSE · GLOBAL MOBILITY • DELIVERY • AUTONOMY

ADD / STAGED · RESEARCH CONVICTION 8/10

Uber is monetizing marketplace scale and generating more than $10B of annual free cash flow, but delivery acquisitions and autonomy deployment could change the historically asset-light economic model.

Investment horizon: 3–5 years · Price: October 19 regular-session close · Preliminary scenario estimates, not a guaranteed 12-month target

MARKET CLOSE	BASE DCF	SCENARIO WEIGHTED	PORTFOLIO WEIGHT
$69.96	**$92**	**$95**	**0.31%**
19 Oct 2026, 4pm ET	+31% estimated vs. close	+35% vs. close	77 shares / ADRs

SOURCE-CONTROL SUMMARY

Quarterly financials through Q2 2026 · Aug 5; market data October 19; estimates sampled October 19; holdings, quantity, cost basis and weight solely from **retirement-portfolio-63.xlsx** uploaded by the user. Default-branch GitHub manifest still incorrectly names export 61; not used for portfolio numbers.

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01 · Executive investment judgment

At approximately 14× trailing free cash flow, Uber still offers attractive normalized upside—provided management protects marketplace returns and does not overinvest in autonomous fleets.

BUSINESS ECONOMICS

- Dominant multi-sided rider/driver/merchant matching raises utilization and product cross-sell while the core platform remains mostly asset-light.
- Mobility and Delivery booking scale supports higher incremental margins, Uber One subscriber attachment and advertising take rates.
- Autonomous-vehicle partners can use Uber as a demand and dispatch layer, preserving consumer acquisition advantage even if fleet ownership shifts.

PRINCIPAL BEAR COUNTERARGUMENT

- AV operators may vertically integrate consumer distribution, weaken Uber pricing power, or force Uber to finance vehicles and depots.
- Delivery Hero increases capital needs, execution complexity and exposure to multiple regulatory regimes.
- Driver classification, minimum earnings and safety requirements can make existing marketplace margins structurally unsustainable.

Decision hinge. Current price **$69.96** compared with conservative FCFE DCF base **$92** (+31%) and 25/50/25 weighted scenario **$95**. These are 10-year present values, not near-term price promises. Proposed Equity Research posture **ADD / STAGED**, conviction 8/10. CIO owns authoritative thesis status, capital allocation and trade decision.

COMPANY QUALITY

8 / 10

Moat, repeatability, margins, balance-sheet resilience, management and investor control quality.

VALUATION / PORTFOLIO FIT

8.5 / 10 / 8 / 10

Value versus expectations / incremental fit at current workbook concentration; distinct from business quality.

Scoring and recommendation are research assessments, not externally sourced credit ratings or a change to Portfolio CIO-controlled status.

02 · What has changed since previous underwriting?

Previous investment research: **September 26 re-underwrite** (market anchor **$69.62**; prior base approximately **$95**). The company-specific developments below determine which model and thesis assumptions require refreshing.

Growth and margins	Q2 $58.02B bookings +22% constant currency; non-GAAP operating income +40% and $2.79B quarterly FCF.
Cash earnings quality	GAAP Q2 $2.39B net income contained a ~$1.6B pre-tax mark-to-market gain; operating income and FCF are more informative than GAAP trailing P/E.
Delivery Hero transaction	A €41.50/share tender was announced, with equity consideration implying about $14.8B; regulatory acceptance, debt and integration remain critical.
Position growth	Export 63 now has 77 UBER shares, up from the 70 in the earlier research; stake remains a small ~0.31% of the portfolio.

Price-anchor changes are period-specific and do not prove a thesis revision on their own. New DCF outputs should not be compared mechanically with earlier forward-P/E targets without noting methodology differences.

03 · Business quality, industry structure & moat

Core underwriting pillars

- Dominant multi-sided rider/driver/merchant matching raises utilization and product cross-sell while the core platform remains mostly asset-light.
- Mobility and Delivery booking scale supports higher incremental margins, Uber One subscriber attachment and advertising take rates.
- Autonomous-vehicle partners can use Uber as a demand and dispatch layer, preserving consumer acquisition advantage even if fleet ownership shifts.
- Share repurchases and disciplined corporate overhead can convert strong FCF into faster growth in cash flow per share.

Strongest counterevidence and competitive pressure

- AV operators may vertically integrate consumer distribution, weaken Uber pricing power, or force Uber to finance vehicles and depots.
- Delivery Hero increases capital needs, execution complexity and exposure to multiple regulatory regimes.
- Driver classification, minimum earnings and safety requirements can make existing marketplace margins structurally unsustainable.
- Investment revaluations inflate reported GAAP EPS; reported free cash flow still requires maintenance-normalization, debt-service and acquisition consideration.

> A strong business can be a poor security when the entry price demands an unrealistically good path—or a high-return idea can fail because operating economics change. The contrary cases above are treated as alternative hypotheses to test, not as fine-print risks.

04 · Earnings, cash generation & management execution

Reported evidence and economically relevant operating metrics

Q2 2026 Gross Bookings	$58.02B	+24% reported, +22% constant currency
Monthly active platform consumers	208M	+16% YoY; 3.867B rides/orders, +18% YoY
Q2 revenue	$14.19B	+12% YoY (model classification affects revenue)
Q2 GAAP operating income	$1.89B	+30% YoY
Q2 non-GAAP operating income	$2.14B	+40% YoY
Q2 FCF / trailing FCF	$2.79B / $10.12B	Quarter operating cash flow $2.86B
Q3 booking / non-GAAP EPS guide	$58.25–60.25B / $0.84–0.88	18–22% constant-currency booking growth

LATEST KEY OPERATING FACTS

Q2 GROSS BOOKINGS	Q2 NON-GAAP OP. INCOME	TRAILING FREE CASH FLOW	Q3 EARNINGS
$58.02B	**$2.14B**	**$10.12B**	**Nov. 4**
+22% constant-currency YoY	+40% YoY	≈7.1% FCF yield	Confirmed premarket earnings

GAAP quality, capital allocation, cash-flow bridge

Bookings growth is not identical to gross revenue, given platform model changes; use trips, gross bookings, contribution profit and free cash flow per share in tandem. Q2 GAAP net income included a significant investment-revaluation gain.

The report uses trailing FCF as a checked market-data starting point, but the DCF's economically sustainable year-zero FCF is explicitly identified as an *analyst scenario input*. Public consensus and company guidance are never substituted for an audited owner-earnings forecast.

05 · Earnings expectations, market valuation & peers

Revenue LTM	$55.23B	2.7× EV/revenue (approx)
Trailing P/FCF	~14.1×	~7.1% trailing FCF yield
Street FY2027 EPS	$4.41	~15.9× FY2027 consensus P/E
Provider PEG	~0.64×	Sensitivity to normalized EPS and adjusted growth
FY2027 revenue consensus	$66.76B	~15% expected growth
Consensus 12-mo analyst target	$100.86	Not intrinsic value; target dispersion $70–$150
Market cap / EV	~$142.9B / $147.6B	Net debt ~$4.7B; pending Delivery Hero financing not fully pro forma

Comparison is drawn against history, investor consensus and economics of realistic alternatives, not a peer-multiple average: high-margin software, insurance services, leading-edge wafer manufacturing and two-sided marketplaces warrant different growth, maintenance capital and valuation measures. Any forward P/E cited uses provider-supplied or clearly labeled adjusted EPS, while GAAP EPS may differ materially. PEG is useful only when estimated earnings growth is consistent, sustainable and positive; it is not an overriding buy rule.

Market price versus expected 2027 performance

At **$69.96**, the equity market is judging durable future growth and margin, not merely whether the latest quarterly print beat consensus. Each valuation ratio has a timing, share-count and accounting-basis dependency. The next release date is **Q3 2026 · Nov 4 premarket**.

06 · Discounted cash flow, reverse DCF & cost-of-capital sensitivity

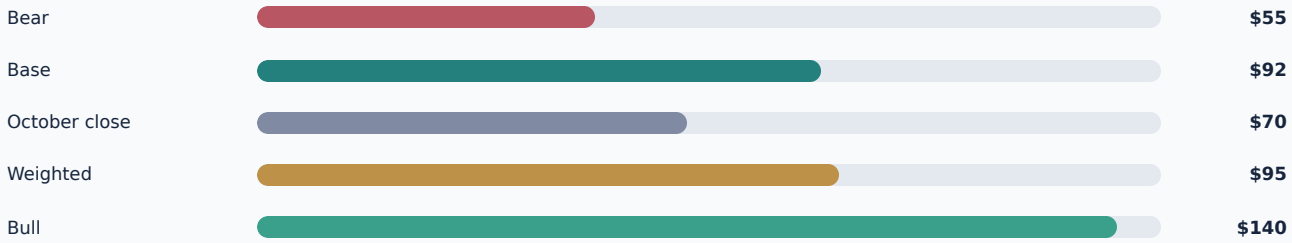
Ten-year equity free-cash-flow DCF — company-specific economics, explicit growth fade and cash ownership

Model architecture. Start with normalized 2026 **$9.25B** of equity FCF; shares / ADR-equivalents **2.0400B**; equity discount rate **10.5%**; terminal growth **2.5%**; explicitly modeled excess cash **$0.0B**. Because the cash flow is after interest, net debt is not deducted again. Terminal value = year-10 FCFE × (1 + g) / (r − g), discounted ten years.

CASE	EQUITY DISCOUNT	YR 1 FCFE	YR 10 FCFE	DCF PER SHARE	VS. PRICE
Bear	11.5%	$9.4B	$12.9B	**$55**	-22%
Base	10.5%	$10.4B	$20.7B	**$92**	+31%
Bull	9.5%	$11.1B	$28.5B	**$140**	+100%

All cash flow values USD billions and intrinsic per-share amounts in USD. Case growth schedules and analyst discount-rate assumptions are disclosed below. The bull/bear change the discount rate ±100 basis points as well as growth; compare as joint scenarios, not isolated WACC estimates.

VALUE DISTRIBUTION



Scenario mix: bear 25%, base 50%, bull 25%. Weighted value $95; modeled base $92. Probabilities reflect research judgment rather than statistical estimates.

Reverse DCF: what is priced in?

A constant annual equity-FCF growth rate of **5.1%** for ten years would match $69.96 with the base discount rate and terminal assumption. Year-10 normalized equity FCF would be **$15.2B**. This is a market-implied growth hurdle under a deliberately simplified flat-growth trajectory.

Owner-earnings sensitivity

If starting distributable FCF is **15% lower** ($7.86B), the reverse growth hurdle becomes **7.3%** per year. This sensitivity addresses continuing reinvestment, capital allocation and share dilution but is not a second reported earnings figure.

Base intrinsic value sensitivity to cost of equity

DISCOUNT	EQUITY VALUE/SHARE	VERSUS CLOSE
9.5%	$106	+51.4%
10.0%	$98	+40.5%
10.5%	$92	+31.1%
11.0%	$86	+22.7%
11.5%	$81	+15.3%

Cash-flow provenance and normalization: Normalized 2026 equity FCF starts at analyst-assumed $9.25B, 8.6% below reported $10.12B LTM, to allow for working-capital, SBC-reinvestment, and transaction uncertainty. All projected FCF is after interest; therefore existing net debt is not subtracted again. Delivery Hero financing / ongoing AV fleet investments are treated as downside model risks rather than silently excluded.

Model assumes no terminal disruption, constant terminal economics, stable projected share count and returns proportional to FCFE. If buybacks materially reduce diluted shares, FCFE per-share could improve; if dilution, acquisitions or insurance/fab funding absorbs more capital, intrinsic value may fall. A risk-free rate near 5% materially affects long-duration valuations.

07 · Bull / base / bear operating cases

BEAR • 25% PROBABILITY

$55 per share

Downside from slower adoption, margin/FCFE growth and higher required return.

First-year FCF growth: +2%; terminal-year growth: +3%; equity discount 11.5%.

BASE • 50% PROBABILITY

$92 per share

Durable execution with a deliberately decelerating, investable growth runway.

First-year FCF growth: +12%; terminal-year growth: +4%; equity discount 10.5%.

BULL • 25% PROBABILITY

$140 per share

Longer exceptional scale advantage and more persistent cash compounding.

First-year FCF growth: +20%; terminal-year growth: +6%; equity discount 9.5%.

Complete ten-year model growth assumptions

YEAR	BEAR	BASE	BULL
2027	2.0%	12.0%	20.0%
2028	3.0%	12.0%	18.0%
2029	4.0%	11.0%	16.0%
2030	4.0%	10.0%	14.0%
2031	4.0%	9.0%	12.0%
2032	4.0%	8.0%	10.0%
2033	4.0%	7.0%	9.0%
2034	3.0%	6.0%	8.0%
2035	3.0%	5.0%	7.0%
2036	3.0%	4.0%	6.0%

Scenario-weighted research value **$95**; it is not the expected October 2027 trading price. The model spans many business cycles and requires consistent evidence on pricing, demand, cash conversion and capital allocation.

08 · Portfolio fit using canonical export 63

CURRENT EXPOSURE

77 shares

Portfolio weight: **0.31%**. Workbook last price **$70.03** (stale versus October 19 live quote). Cost basis **$5,348.18**; average **$69.46**. Sole holdings source: export 63.

MARK-TO-MARKET SENSITIVITY

$5,387

Indicative October 19 market value using workbook quantities × independent closing price; change versus workbook value **$-5** before fees or trades. No assumption that the canonical workbook has been updated.

Portfolio role: **8 / 10** assessed separately from valuation. Adding at market prices changes portfolio concentration, correlation and retirement funding risk even if the research target suggests long-run upside. Capital-allocation authorization remains with Portfolio CIO; equity research is not a trade instruction.

09 · Catalysts, dated checkpoints & thesis-break criteria

Evidence to demand next

- November 4 Q3 booking growth 18–22% constant currency and non-GAAP EPS $0.84–0.88.
- Mobility and Delivery non-GAAP operating margins: sequential gains, price/take-rate discipline and advertising contribution.
- Delivery Hero regulatory and financing milestones; target sub-2x gross leverage and integration economics.
- AV commercialization across partners: fleet funding, utilization, partner bypass and per-vehicle trip economics.

Explicit thesis-break conditions

- Two consecutive quarters with constant-currency bookings growth below 15%, excluding exceptional external disruption.
- Normalized trailing FCF falls below $8B because of recurring operating deterioration.
- Share count starts rising materially despite repurchases; SBC and acquisition dilution outgrow per-share economics.
- Autonomous partnerships bypass Uber or require fleet ownership that makes returns unattractive.
- Delivery Hero acquisition materially raises leverage or leads to persistent deterioration in segment profitability.

> **Separation of roles:** Weakness in forward valuation alone may trigger a suggested lower purchase price or watch posture without implying the underlying company moat broke. Breaking an operating condition triggers formal CIO review; this report does not alter the official status or current position.

Outstanding diligence questions

- Can fleet financing remain off Uber balance sheet without sacrificing economics, data ownership or customer access?
- Is Delivery Hero’s acquisition price accretive on normalized FCF after financing and integration?
- How much of Uber’s gross-bookings growth reflects share gains versus currency and existing-market penetration?

10 · Evidence register and research limitations

Primary documents take precedence over market aggregates. S&P Global-derived StockAnalysis data supply current market capitalization, share statistics, trailing FCFE proxy and forward analyst estimates. Prices use independent October 19 regular-session closes; data snapshots around market close may differ slightly across vendors.

01 Uber official Q2 2026 release

02 Uber Q2 2026 SEC 10-Q

Read source ↗

Read source ↗

03 Delivery Hero joint announcement
Read source ↗

04 Market statistics
Read source ↗

05 Consensus EPS / target
Read source ↗

06 Daily closing history
Read source ↗

Facts: company filings/management press releases, source-supported market data, user-provided holdings. **Third-party estimates:** 2027 EPS/revenue consensus and Street targets. **Analyst assumptions:** ten-year FCF growth vectors, cost of equity, terminal growth, cash normalization, case probabilities, intrinsic value and portfolio research posture.

Evidence confidence: high for filed quarter and portfolio counts; medium for consensus snapshots; low-to-medium for exact long-dated DCF outputs. **Underwriting readiness:** refreshed scenario underwrite, decision-gated by the next company-specific result. Formal research concluded; publication to PCCs not authorized. **Source-control exception:** default GitHub manifest still names export 61 despite October 16 explicit export 63 designation; no older workbook was substituted.

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